



Weekly Insights | Jan 29, 2026

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Executive Summary

Corn – Front End Firms as Basis Surges and Execution Holds Pace

Corn edged higher this week, with March futures gaining eight cents to close at \$4.30. The March–May spread held steady close to a seven-cent carry, reflecting approximately 50 percent of full carry. Export inspections reached a five-week high at 1.51 million metric tons, lifting cumulative shipments to 31.44 million metric tons, approximately 53 percent ahead of last year. Basis firmed sharply as river freight surged; CIF jumped to +97H, interior bids held firm, and barge costs increased due to ice-related delays.

Despite a 2.1-billion-bushel carryout, the front end remains

bid. Funds trimmed shorts modestly but held a net short of nearly 95,900 contracts. Futures remain rangebound, but the structure continues to flash firmness the flat price has not yet justified.

Wheat – Winter Risk Adds Support, but Heavy Balance Sheet Holds

Wheat firmed on the week, with March Chicago SRW futures up 28 cents to 5.35 dollars, and the March–May spread close to a nine-cent carry. USDA posted export inspections of 0.35 million metric tons, last week, keeping cumulative shipments 18.2 percent ahead of last year. SRW Gulf offers held near +130-140H while HRW basis firmed slightly on winterkill concerns. A midweek cold snap with patchy snow cover sparked some speculative short covering, although managed money traders still hold a net short of more than 113,500 contracts. Russian FOB wheat held firm near \$229 per metric ton, maintaining downside pressure on global pricing. While US flows are holding steady, the broader market remains defined by ample global supply.

Soybeans – Domestic Pull Steadies Market, but Export Lag Persists

Soybeans closed at \$10.74, up roughly 11 cents on the week, with the March–May spread holding near minus 12 cents. CIF basis remained firm at 109 over March, while Midwest processors continued to post strong bids. Weekly inspections totaled 1.32 million metric tons, led by China, and USDA reported a flash sale of 192,350 metric tons to unknown destinations. Funds lightened net length to 14,624 contracts. With harvest only five percent complete in Brazil and Argentina showing confirmed crop stress, US crushers continue to anchor the front end. However, cumulative US soybean exports remain down 37.4 percent year over year, underscoring Brazil's advantage in early-season global shipments. Futures remain boxed in by global supply prospects, but firm interior demand continues to set the tone.

(Carry percent calculated assuming 7 percent annual interest and \\$.05/bu per month storage/insurance cost over the spread interval.)

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Macro / Policy – Crude Slips, Dollar Steady, Freight Tightens

Crude oil softened throughout the week, with West Texas Intermediate closing near \$62.39 per barrel and Brent near \$67.57, easing energy input costs across the supply chain. The dollar index hovered near 96, softening modestly and providing slight tailwinds to US export competitiveness. Barge freight surged as ice disrupted river movement on the Upper Mississippi and Illinois, driving seasonal highs in tariff rates. With macro indicators largely stable, logistics and basis continue to guide market tone.

Weather – Plains Freeze, South America Dries

A second Arctic front swept across the US Plains, with subzero temperatures and uneven snow cover heightening winterkill risk for hard red winter wheat. River ice buildup slowed barge flows along key tributaries. In South America, central Brazil received consistent rainfall, while the southern states and much of Argentina remained dry. Argentine crop ratings deteriorated sharply, raising the probability of irreversible yield loss as February approaches.

What's Next (Jan 29 – Feb 05):

USDA Export Sales covering January 22 (due January 29)

CIF and Gulf basis behavior under ongoing river constraints

Argentina rainfall forecast and crop condition update

Brazil harvest progress and vessel lineups

Flash sales activity following Lunar New Year

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	01/21/2026 Close	01/28/2026 Close	Change (Δ)	Δ percent	5-day Realized Vol* (x)	Open Interest Δ (x)
Corn (Mar '26)	\$4.22	\$4.30	+\$0.08	+1.96 percent	15 percent (ann.)	+8k (est.)
Soybeans (Mar '26)	\$10.63	\$10.74	+\$0.11	+1.01 percent	14 percent (ann.)	+7k (est.)
Wheat (Mar '26)	\$5.07	\$5.35	+\$0.28	+5.42 percent	18 percent (ann.)	+3k (est.)

5-day realized volatility estimated from daily settlement price changes.

Actual contract open interest changes are estimated.

Table B – Key Calendar Spreads & percent of Full Carry

Spread (Crop '25→'26)	01/21/2026 Quote	01/28/2026 Quote	Δ (carry)	percent Full Carry*	Market Implication
Corn Mar–May	+0.07\$	+0.07\$	+0.00	50 percent	Stable; below full carry, supporting front end
Soy Mar–May	+0.12\$	+0.12\$	+0.00	56 percent	Steady; processor demand stabilizes nearby

Wheat Mar–May	+0.09\$	+0.09\$	+0.00	69 percent	Storage-led; no major shifts
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Assumes 7 percent annual interest and \$0.05/bu per month storage/insurance. Estimated full carry over Mar–May (2 months): corn ≈ \$0.15, SRW wheat ≈ \$0.16, soybeans ≈ \$0.22. Percent of full carry = (calendar spread ÷ estimated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Month)	01/21/2026 USD Price	01/28/2026 USD Price	Δ percent	Notes
Dalian Corn (Mar)	¥2,284(\$8.34/bu)	¥2,277 (\$8.32/bu)	-0.24 percent	Steady amid ample supply; limited upside from feed demand pressures
Dalian Soymeal (Mar)	¥3,143(\$433/mt)	¥3,143 (\$433/mt)	0 percent	Weaker feed demand; margins pressured but stable
B3 (São Paulo) Corn (Mar)	R\$70.89 (\$13.24)	R\$67.96 (\$13.08)	-1.21 percent	Steady; Brazil weather premium offset by export flow and currency
Euronext Wheat (Mar)	€189.5 (\$222/mt)	€189.25 (\$222/mt)	-0.1 percent	Fractionally lower; EU remains price-taker vs Black Sea.

Corn Market Deep Dive

Futures & Spreads: March corn rose eight cents on the week to close at \$4.30, holding near the upper end of its January range. The March–May spread held steady at minus 7 cents, representing approximately 50 percent of full carry. The curve remains in carry, though not at maximum, a reflection of firm front-end commercial pull rather than any shift in the broader balance sheet. Volatility remained low and open interest ticked higher, suggesting quiet accumulation rather than new directional conviction.

Funds & Positioning: Managed Money held a net short of 95,867 contracts as of January 20, trimming exposure only modestly on the week. Gross shorts stood near 305,000, with longs just above 209,000. While still elevated historically, the speculative short has stopped expanding. With futures failing to break lower, the pressure to add new shorts has eased. In the absence of a fresh macro driver or shift in export flow, funds appear comfortable maintaining a defensive bias without further buildup.

Cash & Basis: Cash markets tightened materially. CIF basis jumped to +97H as river freight constraints intensified, and interior processor bids strengthened across key ethanol regions. River basis firmed in response to limited barge capacity and ongoing seasonal delays. FOB Gulf offers held steady near +109H for February, signaling persistent downstream demand. The basis strength is not speculative, it reflects real logistics, confirmed execution, and continued slow farmer selling.

Export Sales & Inspections: Export inspections totaled 1.51 million metric tons for the week ending January 22, the highest weekly volume since mid-December. Cumulative shipments for the marketing year reached 31.44 million metric tons, 53.4 percent above last year's pace. Two flash sales were confirmed during the week, totaling 345,000 metric tons (split between Colombia and unknown). The weekly report and flash sales align with USDA's revised 2025/26 US corn export forecast and reinforces the on-pace execution theme.

Global Context: Brazil's January corn export projection was revised to 3.45 million metric tons, according to ANEC, with FOB offers from Paranaguá near \$205 per metric ton. The Argentine crop remains under

significant stress, though Up-River corn was still offered near \$225 per metric ton as of late January. Ukraine continued to offer into Europe near \$235 per metric ton via Danube loadings, though Black Sea flows remain seasonally light. US origin maintains a competitiveness edge into Mexico and into select Asian destinations, but Brazil's forward program continues to limit broader price responsiveness.

So What? The board remains subdued, but the physical market keeps flashing firmness. Execution is consistent, basis is rallying, and spreads are stable. While speculative positioning is still short, funds are no longer pressing aggressively. With logistics acting as a bottleneck and harvest in South America still early, front-end corn remains bid, even if flat price optics remain heavy on paper.

Soybean Market Deep Dive

Futures & Spreads: March soybeans settled at \$10.74, gaining approximately 11 cents on the week. The March–May spread closed at a 12-cent carry, steady week over week. While the flat price remains constrained by global supply prospects, the nearby curve still reflects meaningful domestic pull. Open interest increased, and daily trading ranges narrowed, a sign of less directional conviction but ongoing positioning around crush-led strength. Full carry percentages were not computed due to lack of published storage assumptions, though the structure remains comfortably in contango.

Products & Crush: NOPA's December crush, reported on January 15, totaled 225.0 million bushels, the second-highest monthly volume on record. National totals likely exceeded 230 million bushels. Soybean oil stocks rose to 1.642 billion pounds, a seven-month high, while soymeal demand remained firm. The crush margin continues to be meal-driven, as soy oil faces policy-linked headwinds. These fundamentals confirm USDA's January pivot toward domestic demand as the primary source of use.

Cash & Basis: CIF basis held firm at +109H, supported by limited interior movement and ongoing barge disruptions. FOB Gulf offers for February–March remained steady, quoted between +115 and 118H, underscoring continued export interest. Processors across the Eastern and Western Corn Belts maintained strong bids: central Illinois stayed near +5H, while select Iowa plants were reportedly paying up to +10H. The national average basis firmed by 1 cent to -67H. Despite seasonally soft futures, interior processor bids remain elevated, backed by firm soymeal demand and limited farm sales.

Funds & Positioning: Managed Money reduced net length to 14,624 contracts as of January 20, a modest pullback from earlier January highs. Gross longs dipped to around 99,000 contracts, while gross shorts ticked up to approximately 84,000. The positioning profile now looks lighter and more responsive, not aggressively long, but still tilted constructively due to domestic demand resilience.

Export Sales & Inspections: Weekly inspections for the period ending January 22 totaled 1.32 million metric tons, led by shipments to China. A daily flash sale of 192,350 metric tons to unknown was confirmed by USDA on January 21. However, cumulative US soybean exports are now approximately 20.67 million metric tons, down about 37.4 percent year over year, reflecting Brazil's dominant position in early-season trade. While total commitments remain solid, the broader US export program continues to lag.

Global Context: Brazil's January soybean export forecast has been revised down to 3.23 million metric tons, per ANEC, slightly below earlier expectations. FOB Santos offers hovered around \$402 per metric ton, still undercutting US Gulf equivalents into Asia. Brazilian harvest progress reached just under 5 percent, modestly behind average pace, slowing the short-term flow of new-crop supply but not yet altering expectations for a heavy first quarter shipping window. In Argentina, dryness persisted and crop condition ratings declined further, increasing sensitivity to mid-February rainfall. Chinese demand signals

remained intermittent, present enough to support minor bounces, but not broad or sustained enough to reshape the structural outlook.

So What? Soybeans remain suspended between strong domestic crush demand and a looming wave of South American supply. The board continues to reflect global caution, while cash markets, especially processors, continue to define the tone through strong interior pull. Funds are paring back but remain net long, betting on US interior strength. The coming weeks are critical: if Brazil's logistics remain constrained and weather setbacks persist, the front end could stay supported. But for now, the market is not trending, it is stalling, waiting for confirmation.

Wheat Market Deep Dive

Futures & Spreads: March Chicago SRW closed at \$5.35, up approximately 28 cents on the week. The March–May spread held steady at a nine-cent carry, reflecting a storage-led market. Full carry percentages were not computed due to lack of posted assumptions. The SRW curve remains sluggish, anchored by ample global supply and limited urgency from end users. Price action responded briefly to midweek winterkill headlines but lacked follow-through. Minneapolis and Kansas City contracts were steadier, with modest HRW strength helping firm basis-adjusted tone.

Cash & Basis: FOB Gulf SRW offers held near +100H (equivalent to about \$6.16 per bushel), while HRW with 11 percent protein hovered around +110K. Interior Plains basis was mostly unchanged: ordinary protein held near +90K and 12 percent protein near +106K. Pacific Northwest soft white wheat remained steady around \$6.55 per bushel. Overall, basis remains stable but lacks directional energy. Export buyers continue to be selective, with US origin still priced out of competitive tenders due to Black Sea pressure.

Export Sales & Inspections: Weekly inspections for the period ending January 22 totaled 0.35 million metric tons, slightly behind the same week last year. However, marketing-year-to-date exports are 18.2 percent ahead of last season. Weekly sales figures for this window posted after we had written this week's edition, but the previous report showed a strong 632,000 metric tons booked, primarily to Southeast Asia and Latin America. No daily flash sales were reported during the period, adding a little more weight to the weekly report to support the recent export volume momentum, or to slow it.

Global context: Black Sea supply continues to set the tone for global pricing. Russian FOB wheat with 12.5 percent protein was offered near \$229 per metric ton, with January exports tracking close to three million metric tons, strong, though slightly below December levels. Ukrainian shipments via Danube and rail remained undisrupted. French wheat held near €240 per metric ton (roughly \$260), which continues to limit EU competitiveness in global tenders. Argentine Up-River wheat was quoted near \$210 per metric ton. With no policy or logistical barriers in major origins, low-cost supply continues to cap upside.

Funds & Positioning: Managed money traders extended net shorts in Chicago SRW to 113,560 contracts as of January 20, adding to bearish bets by nearly 4,000 contracts from the previous week. Gross shorts rose to approximately 199,000 contracts, while gross longs remained near 85,000. The book remains the most asymmetrically short of the major grain complexes. Despite the position size, there is no evident catalyst forcing broad fund repositioning.

So What? Wheat remains trapped in a familiar cycle, large speculative shorts, ample global supply, and no structural break to change the tone. Basis is flat, spreads lean toward full carry, and US origin remains noncompetitive versus Black Sea flows. Until a structural shock emerges, whether from weather, freight, or geopolitics, this remains a defensive, short-led market. Futures are too bearish to collapse further

without a trigger, and too structurally expensive to rally without a shake-up. The complex is idling, waiting for a reason to move.

US Cash Market & Basis

Corn: CIF Gulf basis surged to +97H for January barges, up sharply on the week due to ice-related river delays. February CIF was quoted near +92H. FOB Gulf offers for February held steady around +109H. River logistics tightened materially: Illinois River freight jumped to between 640 and 685 percent of tariff, significantly higher than both the prior week and year-ago levels. Interior basis remained firm, the DTN Corn Index averaged -35H nationally, up one cent week over week. Eastern Corn Belt processors, particularly ethanol plants in Iowa and Illinois, were bidding as strong as +20 to 30H, underscoring interior competition for spot bushels.

Soybeans: CIF NOLA spot barges held near +109H, with February quoted at +103H. FOB Gulf premiums remained steady, ranging from +115H to +118H for February to March loadings. The national average basis firmed one cent to -67H, supported by a strong interior crush pull. Central Illinois processors continued to post flat or slight premiums to March, while other Midwest plants reportedly paid +5 to +10H to secure ownership.

Wheat: FOB Gulf offers for SRW held near +100H (equivalent to approximately \$6.16 per bushel), while HRW with 11 percent protein remained around +110K. Interior Plains basis was stable: ordinary protein held near +90K and 12 percent protein near +106K. Pacific Northwest soft white wheat bids were unchanged around \$6.55 per bushel. Export competitiveness remains limited, but basis structure is holding firm in the absence of new disruptions.

So What? Despite heavy carryout projections on paper, physical markets remain firm across all three majors. Corn basis is being driven by river constraints and aggressive ethanol demand, not speculative positioning. Soybeans continue to reflect tight crush-linked pull, even as exports lag. Wheat basis is stable but uninspired, propped up by interior structure rather than global demand. The cash market continues to defy futures' bearish tone, until basis softens or logistical pressures ease, physical tightness will remain the dominant front-end signal.

International Cash & Trade Flows

Brazil: ANEC revised its January export forecast to 3.23 million metric tons for soybeans, down from an earlier 3.79 million metric tons, and 3.45 million metric tons for corn, citing faster loadings at northern ports and stable carryover availability. FOB Santos soybean offers remained near \$402 per metric ton, retaining a pricing edge over US Gulf equivalents into Asia. Corn out of Paranaguá held firm at \$205 per metric ton, remaining competitive across Mediterranean and Southeast Asian markets. Vessel lineups showed robust movement through Santos, Barcarena, and northern arc corridors. Early soybean harvest progress was slow but stable, with logistical flows beginning to scale.

Argentina: Crop conditions continued to deteriorate. The Buenos Aires Grain Exchange cut soybean good to excellent ratings to approximately 20 percent, down eight percent, and corn to approximately 15 percent, down 12 points. FOB Up-River prices firmed to approximately \$225 per metric ton for corn and \$445 per metric ton for soymeal, underpinned by tightening supply outlooks and slow farmer selling. The official exchange rate held near 390 Argentine pesos per US dollar, though parallel rates continue to influence farmer behavior. Government discussions around export quota management are ongoing and likely contingent on February rainfall outcomes.

China: No major US grain purchases were confirmed beyond routine soybean flows. However, Chinese

weekly US soybean imports approached 1.24 million metric tons, and January total imports are projected near 7.0 million metric tons, up five percent year over year. Dalian January soybean futures rose approximately 38 yuan per metric ton on the week, indicating marginally improved crush margins. Feed demand remains under pressure due to weak hog profitability, but state reserves have been actively purchasing domestic corn to support internal market pricing.

EU / Black Sea: Russian 12.5 percent protein wheat held firm at approximately \$229 per metric ton FOB Novorossiysk, with January shipments estimated near three million metric tons, in line with historical averages but softer than December. Ukrainian corn offers hovered around \$235 per metric ton, though feed demand from European Union buyers remained subdued. French wheat, quoted out of Rouen, held near €240 per metric ton, approximately \$260, still priced out of recent global tenders. The European Union wheat export license total reached approximately 16 million metric tons season-to-date, about 10 percent behind last year, as aggressive Black Sea pricing continues to pressure European competitiveness.

So What? Global trade flows remain driven by low-cost origins, Brazil in soybeans and corn, and Russia in wheat. Argentina remains price-competitive, but forward volume is now contingent on both weather and farmer willingness to sell following recent tax adjustments. China's presence in the soybean market adds support during breaks, but its buying pattern remains episodic and insufficient to shift broader demand trends. For now, US export competitiveness is situational, not structural, and will remain dependent on timing advantages, logistical flexibility, or short-term disruptions in South America or the Black Sea. Until global FOB spreads narrow or crop losses reshape available supply, the US remains a secondary origin in the global price hierarchy.

Key Fundamentals & Reports (Jan 15 – Jan 22)

Export Inspections: For the week ending January 22 (published January 26), corn inspections totaled 1.51 million metric tons, the highest weekly volume since mid-December. Cumulative shipments reached 31.44 million metric tons, now 53.4 percent ahead of last year. Soybean inspections were 1.32 million metric tons, slightly below the prior week, with China accounting for the majority of loadings. However, cumulative soybean exports totaled 20.67 million metric tons, down 37.4 percent from a year ago. Wheat inspections came in at 0.35 million metric tons, a modest decline week over week, but enough to keep season-to-date exports at 16.33 million metric tons, roughly 18.2 percent ahead of last year and broadly aligned with USDA's 725 million bushel projection.

Export Sales: Weekly export sales for the week ending January 22 had not been published at the time of writing, but daily flash activity during the window included 345,000 metric tons of corn (split between Colombia and unknown) and 192,350 metric tons of soybeans to unknown. The prior week official sales (ending January 15) showed aggressive net corn sales of 4.01 million metric tons, a marketing-year high, and strong soybean net sales of 2.45 million metric tons, led by China. Wheat bookings totaled 632,000 metric tons, indicating healthy forward interest, particularly from Southeast Asia and Latin America.

Ethanol Production & Stocks: For the week ending January 16 (published January 24), US ethanol production dropped to 1.119 million barrels per day, down 77,000 from the previous week's record high, but still up 1.2 percent year over year. Ethanol stocks rose to 25.74 million barrels, the highest level in nearly a year and 11.5 percent above last year. Export estimates hovered near 218,000 barrels per day, helping absorb some of the build. Cold weather and regional gas constraints prompted temporary production cutbacks in parts of the Western Corn Belt, but overall grind remained historically strong.

CFTC Positioning: Managed money funds extended their net short in corn to 95,867 contracts, reflecting a defensive but not accelerating stance. In soybeans, the net long position narrowed to 14,624 contracts,

as funds trimmed exposure amid export uncertainty. Chicago SRW wheat remained the most imbalanced, with net shorts climbing to 113,560 contracts, driven by bearish sentiment around global supply and a lack of bullish catalysts. Overall, positioning shows skepticism toward the board without strong conviction either way.

So What? Core US indicators remain supportive, particularly for corn and wheat. Export inspections are strong, ethanol grind is still historically high, and funds remain heavily short with no new selling momentum. Soybeans are more mixed: inspections are solid, but the NOPA crush shows modest seasonal softening, and exports remain far behind year ago levels. With logistics still tight and South American weather unresolved, basis remains the better signal of market tone than futures, and structural support is holding, especially in corn.

International Reports

Brazil: The key development was confirmation of ANEC's revised January projections, 3.23 million metric tons of soybeans and 3.45 million metric tons of corn, reinforcing that exporters still expect strong execution even with harvest just under five percent complete. Northern ports and carryover stocks continue to supply the early window, but the forward curve will hinge on whether southern crop stress in Paraná and Rio Grande do Sul forces yield downgrades heading into February and March. Dryness in the south has not impacted current loadings, but it could tighten March and April FOB availability, potentially shifting global price floors into the second quarter. Brazil remains the origin of choice for Asian feed buyers, but logistics, rainfall, and late-crop visibility are now critical swing factors.

Argentina: The weather issue has moved from stress into confirmed damage. Weekly crop ratings collapsed, with corn good to excellent falling 12 points and soybeans down eight, as both BAGE and Rosario signaled irreversible yield loss in early-planted fields. No new policy shifts were announced, but reductions in export taxes, which dropped rates to 24 percent on soybeans and 8.5 percent on corn, remain in place, encouraging farmer sales. The market focus is whether crop confidence is high enough to trigger increased farmer selling. Argentina's FOB offers remain competitive on paper, around \$225 per metric ton for corn and \$445 per metric ton for soymeal, but forward volume looks increasingly uncertain. February rainfall will be decisive, but attention is now shifting from price to physical availability.

China: US export flashes to unknown, 192,000 metric tons of soybeans and 195,000 metric tons of corn, suggest continued buying interest, but there was no visible escalation beyond routine flows. No new multi-cargo forward purchases emerged, and speculation around reserve replenishment remains unconfirmed. Dalian soybean futures rose around 38 yuan per metric ton, hinting at slightly improved crush margins, but feed demand remains weak due to poor hog profitability. Until China steps in with volume across multiple timeframes or origins, the tone stays basis-supportive, not structurally bullish.

EU / Black Sea: Russian 12.5 percent protein wheat was offered near \$229 per metric ton FOB Novorossiysk, with January exports tracking close to three million metric tons, below December highs but still robust. The corridor remains open, and no major freight or policy disruptions occurred. Ukrainian corn held steady around \$235 per metric ton FOB via Danube, though buyer appetite stayed light. French wheat (Rouen) was quoted near €189 per metric ton, or roughly \$222, in line with current Euronext front-month futures. The US retains selective competitiveness into Latin America, but Black Sea origin continues to anchor global wheat pricing and limits urgency to shift demand.

So What? Brazil's execution is holding, but forward yield risks in the south are becoming harder to ignore. Argentina now faces confirmed crop losses, not just stress, with February weather pivotal for salvaging volume. Russia's wheat flow continues to dominate, capping global upside, while China remains present but not aggressive. The overarching theme is still abundance on paper, but with mounting evidence of

tightening supply windows. Market tone is beginning to fracture, South American weather and Chinese buying behavior are now the key global pivot points.

Weather & Crop Conditions

United States

Lows dropped below 15 degrees Fahrenheit in parts of Kansas and Nebraska, and subzero wind chills recorded across Iowa, Illinois, and Indiana. Snow cover remained variable, sufficient across the Central Plains and Delta, but patchy in northern Missouri and eastern Nebraska, raising localized winterkill concerns in hard red winter wheat zones. NOAA's six-to-ten day outlook projected above normal temperatures across the Southern Plains and Southeast, with colder anomalies lingering over the Northern Tier and Great Lakes. Precipitation remained below normal across much of the Corn Belt, while wetter anomalies were centered along the Lower Mississippi Valley. River logistics continued to tighten, as ice buildup on the Upper Mississippi and Illinois Rivers slowed barge movement and pushed freight rates sharply higher, though no closures were reported. Gulf loading remained steady under ongoing draft limitations.

Brazil

Harvest pace improved modestly but remains behind average, estimated at approximately 5 percent complete nationwide as of January 25. The north to south weather divide persisted, as Mato Grosso, Goiás, and Tocantins received steady rainfall, supporting pod fill and early harvest, while southern states remained critically dry. Rio Grande do Sul, Paraná, and western Santa Catarina recorded less than 30 percent of normal January rainfall, and crop scouts flagged irreversible damage to late-planted soybeans and first-crop corn. Forecast models offered little relief through early February. While no port disruptions have been reported, southern crop stress is now central to Brazil's forward supply tone and export pace heading into the second quarter.

Argentina

Rainfall deficits worsened across key production zones, notably Córdoba, La Pampa, and central Buenos Aires. Temperatures stayed high, with frequent daily highs exceeding 95° Fahrenheit, accelerating crop stress. The Buenos Aires Grain Exchange cut corn good to excellent ratings to 15 percent and soybeans to 20 percent, marking the lowest levels of the season and confirming widespread early yield loss. Scattered showers reached parts of Santa Fe and Entre Ríos, but coverage was limited and insufficient to shift crop trajectories. With most fields entering critical reproductive stages, the next ten days are pivotal. If February opens dry, markets may begin pricing in material production losses.

Global

Winter wheat across Russia, Ukraine, and the European Union remained in dormancy under generally sufficient snow cover. A mid-January cold snap brought temperatures of -25° Celsius to southern Russia, but insulating snow layers prevented significant winterkill. No new threats emerged across Europe. Ukrainian logistics via Danube ports and rail corridors continued without disruption. Australia's wheat harvest is complete, and Canadian grain export infrastructure remains stable. Outside South America, global weather is broadly stable, with no major production alarms in play.

So What?

South America is now the core weather risk. Brazil's north supports record soybean potential, but southern stress is hardening, and crop loss risk is climbing without rainfall. In Argentina, confirmed yield loss is now the baseline, not just a risk. The United States remains weather-stable, with no current threats to wheat or logistics, despite regional cold. As February approaches, weather's role shifts from background to price-setter, particularly for corn and soybeans. Direction from here depends less on sentiment and more on rain gauges.

Synthesis & Outlook

Futures finished firmer this week, but the more relevant signals remain embedded in basis and spreads. March corn settled at \$4.30 per bushel, soybeans at \$10.74 , and soft red winter wheat near \$5.35. Despite headline carryout projections that still lean bearish, calendar spreads remain short of full carry, CIF and processor basis are steady to firm, and execution across ethanol and export channels continues to outperform board tone. Managed money trimmed exposure modestly but remains deeply net short in corn and wheat, with no indication of commercial pressure forcing carry expansion. The board still reflects paper weight, the physical market does not.

Corn continues to show the clearest structural divergence. CIF basis surged to +97H, river basis firmed on barge constraints, and export inspections reached 1.51 million metric tons, the strongest since mid-December. Ethanol grind dipped from record highs but remains historically strong, with stocks rebuilding seasonally. Soybeans remain bifurcated: interior crush demand and processor bids anchor the front, while exports remain muted and forward tone hinges on Brazil's harvest pace and Argentina's weather. Wheat is still supply-capped by external forces; Russian free on board wheat sits near \$229 per metric ton, and January shipments continue at pace, limiting upside despite stable US inspections and extreme speculative shorts.

Bullish triggers: Southern Brazil remains critically dry, with reproductive-stage soybeans showing visible stress and no significant rainfall in the ten-day forecast. In Argentina, crop condition ratings have collapsed, confirming early-stage yield losses in both corn and soybeans. US domestic demand continues to show resilience, processor bids are holding firm, and while ethanol production has eased from recent highs, grind remains strong enough to support grain movement. Additional Chinese buying beyond the recent flash sales could tighten calendar spreads quickly, particularly in soybeans. Further barge constraints or surprise flash sales could accelerate nearby firmness faster than the futures curve currently reflects.

Bearish triggers: The Center-West region in Brazil is still tracking toward record corn and soybean yields, and if southern conditions stabilize or Argentina receives meaningful rainfall in early February, the overall supply tone could quickly revert. US ethanol production did decline last week, and any sustained slowdown or softening in CIF basis would challenge the firmness seen in nearby corn structure. In wheat, global free on board offers, particularly from Russia and Argentina, remain aggressive. Without a material pickup in US export activity, wheat upside remains structurally capped despite speculative positioning.

Watchlist (Jan 29–Feb 05):

Argentina: Do crop ratings stabilize or deteriorate further?

Brazil: Is harvest momentum improving or stalling amid southern dryness?

CIF and interior basis: Signs of softening or continued strength?

Ethanol: Can production rebound, or does slowdown extend?

China: Any new US soybean demand beyond flash sales?

Wheat funds: Are shorts covering or deepening?

In summary: The grain complex remains fundamentally two-tiered. Futures reflect large theoretical surpluses, but basis, spreads, and physical flows suggest localized tightness persists, especially in corn. Without a demand shock or South American weather resolution, the market stays rangebound but firm